Stock pitch · Systematic value portfolio, holding since June 2022

Carrefour

Euronext Paris: CA · Consumer Staples · France · Price €13.08 (29 Oct 2026)

BUY · fair value €18

A grocer priced at a 10%+ free-cash-flow yield after a profit warning. We buy cash flow and real estate below their worth — and we know exactly what would make us wrong.

Noah Doose · 29 October 2026 · Student research for interview purposes, not investment advice. Not affiliated with, endorsed by or prepared for any firm.

Understand the business

What it does: food retail in France (about half of sales), Spain, Brazil (Atacadão cash & carry) and smaller countries under review (Belgium, Poland, Argentina). Sales €91bn incl. VAT in 2025.

Economics: thin margins (recurring operating margin 2.6%) on a large asset base; cash flow funds dividends.

Assets: real estate valued at €14.2bn by the company, above today's market value of about €9.3bn.

Management and plan: Carrefour 2030 (Feb 2026): €1bn of annual cost savings, 3.5% margin by 2030, €5bn cumulative net free cash flow 2026-28, payout 50-60% of adjusted EPS, portfolio simplification (Italy and Romania sold).

Source: Carrefour FY2025 results (17 Feb 2026), Carrefour 2030 plan (18 Feb 2026), H1 2026 results (23 Jul 2026)

Why it is neglected

	Carrefour	Peers (Ahold Delhaize, Tesco, Kroger, Jerónimo Martins)	Sector median
EV/EBIT	11.8x	14.9x	16.9x
P/FCF	5.5x	17.3x	17.4x
P/B	0.97x	3.27x	3.11x
Score rank in sector	1 / 76	—	—

Why: a decade of disappointment, a French price war, Brazilian rates near 15%, and a guidance cut on 20 October 2026 after riots and curfews in France (estimated €80-200m operating-income hit). The shares fell 12% in a day.

Source: pipeline multiples at 31/12/2025 (last usable fiscal year, Bloomberg-derived); Carrefour Q3 2026 sales release (20 Oct 2026); press (21 Oct 2026)

Our forecasts vs the company

	2025 actual	2026 company (20 Oct)	2026 ours	2027-28 ours
Recurring operating margin	2.6%	+0 to +15 bp	2.6%	2.8-3.0%
Adjusted EPS	€1.60	stable to slight growth	€1.55	€1.70-1.85
Net free cash flow	€1.3bn (€1.6bn ex Italy)	slight decline	€1.3bn	€1.4-1.6bn a year
Ordinary dividend	€0.97 (+€0.21 special)	50-60% payout	€0.85	€0.90-1.00

Our view: we are below the company's €5bn 2026-28 cash target (about €4.2bn) and assume a dividend reset under the new payout rule. Our fair value does not need the plan to be met.

Consensus: to verify at the terminal (15 analysts, 'Hold', average target €15.4, third-party).

Source: Carrefour FY2025 results and 2030 plan; Q3 2026 release; own forecasts; StockAnalysis consensus (29 Oct 2026)

Fair value

Case	Net FCF (€bn, normalised)	Required FCF yield	Value / share	vs €13.08
Bear	1.0	12%	€11.8	-10%
Base	1.4	11%	€18.0	+38%
Bull	1.7	10%	€24.0	+84%

Asset check: real estate €14.2bn vs enterprise value ≈ €13.2bn (market value + year-end net debt, excluding leases): the stores cover the whole enterprise value.

Peers: at the peer EV/EBIT of 15x the shares would be worth much more; we do not use it — Carrefour earns lower margins than its peers and deserves a discount.

Source: own calculations, 707.6m shares; Carrefour 2030 plan (real estate valuation); pipeline peer multiples

Risks, drawdown and sell discipline

Risk measure (since entry, June 2022)	Value
Maximum drawdown	-29%
Peak / trough	Apr 2023 / Feb 2025
Recovery time	62 weeks

Risks: French unrest lasting into 2027; price war eroding the margin the plan needs; Brazil rates and currency; dividend reset weighing on a yield-supported share price.

We sell if: the 2027 margin does not rise above 2.6%, cumulative 2026-28 cash flow tracks well below €4bn, disposals dilute earnings without cutting debt, or S&P's BBB outlook turns negative.

Source: pipeline weekly total returns net of withholding tax, Jun 2022 - Jun 2026; own triggers

Position in the portfolio

2%	4%	+20.3%	+10.8%
equal-weight portfolio	minimum-variance portfolio (cap)	H1 2026 total return (EUR)	MSCI World Net EUR, H1 2026

Held since June 2022 at every rebalance: the score keeps ranking it the cheapest of 76 consumer-staples names.

Minimum variance gives it the 4% maximum: a defensive, low-volatility value name.

After the October guidance cut the shares trade below their December 2025 level: we keep the full weight.

Source: outputs/portfolio/weights_*.csv; pipeline returns

Sources

[1] Carrefour, FY2025 results press release, 17 Feb 2026 — carrefour.com/en/finance (accessed 29 Oct 2026)
[2] Carrefour, Carrefour 2030 strategic plan presentation, 18 Feb 2026 (accessed 29 Oct 2026)
[3] Carrefour, H1 2026 results, 23 Jul 2026 (accessed 29 Oct 2026)
[4] Carrefour, Q3 2026 sales and guidance update, 20 Oct 2026 (accessed 29 Oct 2026)
[5]-[8] Press coverage of the French unrest, guidance cut and Jefferies comments, Oct 2026 (accessed 29 Oct 2026)
[9] StockAnalysis, Carrefour price, range, multiples and consensus, 29 Oct 2026 (third-party)
[10]-[12] Press on Q1 2026 sales, Italy and Romania disposals (2025-2026)
Portfolio Project pipeline: score, multiples (Bloomberg-derived), weights, returns and drawdown
To provide (pitches/sources/CA_FP/A_FOURNIR.md): see list; to verify: Q1 2026 sales date, EV multiples (IFRS 16).